Stability, investment, affordability: The keys to abundant electricity

ACT will open electricity networks to competition, give New Zealanders more freedom to generate and sell power, and make monopoly lines companies prove consumers are getting value before loading more costs onto their power bills.

Affordable and reliable electricity is essential to almost everything New Zealanders do. It keeps homes warm, businesses operating, factories producing, and new technology running.

ACT has already helped reopen New Zealand to energy investment. We secured the repeal of Labour's oil and gas ban and are reforming the Resource Management Act so new generation and infrastructure can actually be built. Affordable electricity comes from welcoming investment and making it easier to produce and move more energy around the country.

But generating more electricity is only part of the challenge. It also has to reach the people who need it at a reasonable cost. New Zealand has 29 electricity distribution businesses. Each is effectively a local monopoly because while households can choose their electricity retailer, they cannot choose another company to deliver electricity to their property.

The distribution charges of those monopoly networks now account for around a quarter of the average household power bill. Collectively, they are forecasting more than $32 billion of capital and operating expenditure over the coming decade.

Much of that investment will be necessary. New Zealand needs stronger networks to support population growth, electrification and new generation. But because consumers cannot switch lines companies, ordinary competitive pressure cannot be relied upon to ensure every dollar is spent efficiently.

The challenge is therefore to build the infrastructure New Zealand needs while using competition, technology and transparency to stop unnecessary costs becoming permanently embedded in household power bills.

01 Nurture investment and innovation

High electricity prices have prompted calls to forcibly break up New Zealand's large generator-retailers. ACT will not restructure an industry simply because political pressure demands somebody be blamed. Menacing an industry that sorely needs investment will not get prices down.

Independent analysis commissioned by the Government found no material competition problem requiring the break-up of the major generator-retailers. Recent price pressure has instead reflected fundamental supply problems, including declining gas availability and insufficient firm generation during dry periods.

Breaking companies apart does not create another megawatt of generation, another gas molecule or another transmission line, but would almost certainly shatter the confidence of anyone seeking to invest in growing capacity. It could also destroy the natural hedge provided by businesses

operating across both generation and retail, exposing consumers more directly to volatile wholesale prices.

That does not mean large electricity companies should receive special treatment. Competition law and electricity regulation should protect open access to markets and infrastructure, and regulators should act when companies genuinely misuse market power to prevent competitors offering consumers a better deal.

The answer to high electricity prices is more generation, more investment and more competition – not political restructuring that fails to address the underlying shortage.

ACT will put competition and fair access first, and strengthen enforcement where electricity companies misuse market power to block a better deal for consumers.

02 Let people sell the power they make

More New Zealanders are installing solar panels and batteries, but electricity rules still assume power largely flows in one direction: from a large generator, through the grid, to a passive consumer.

That model is changing. A household producing its own electricity should be able to sell surplus power to whoever offers the best deal, rather than being required to use the same retailer for both the electricity it buys and the electricity it exports.

ACT would enable households to use different providers for the electricity they consume and the electricity they export, and go further by enabling direct energy sharing and local sales through businesses and community energy schemes, subject to appropriate metering, network charging and consumer protections.

Export limits should also reflect the actual capacity of the local network. Where a network has room to accept more electricity, households should be able to export more. Where a distributor restricts exports because of a genuine network constraint, it should have to show why.

The electricity system should reward people who invest their own money in generation and storage, not put artificial barriers in their way.

ACT will give New Zealanders the right to sell the power they make, choose their buyer, and export more electricity when the network has room.

03 Open transmission to private investment

New Zealand needs more transmission lines to connect new generation to customers. At present, building transmission is too hard. To get more affordable electricity, it must become easier to connect new generators to the grid.

Private generators should be able to build their own capacity and hook it into the grid. Private companies can own transmission infrastructure, but there is no complete regulatory and commercial pathway allowing an investor to finance, build, own and operate a new transmission line as part of the interconnected grid.

That leaves Transpower as the default pathway even where generators, large electricity users or investors are prepared to fund new lines themselves.

ACT would establish a clear pathway for private parties to finance, build, own and operate new inter-nodal transmission connected to the National Grid, subject to common technical and reliability standards and coordination with the system operator.

Investors would recover their costs through voluntary agreements with the generators and consumers using the line, rather than automatically loading the cost onto every electricity consumer.

If someone is prepared to invest their own capital to remove an electricity bottleneck, the rules should make that possible.

ACT will allow private investors to build, own and operate new transmission connected to the National Grid where they meet common technical and reliability standards.

04 Break the connection bottleneck

Connecting a new home, subdivision, factory, solar farm or other development to the electricity network can involve significant cost and delay. The problem with distribution is similar to what generators face with respect to transmission.

Local lines companies must set and enforce safety and technical standards, so distribution networks can function. But they should not automatically have exclusive rights over every piece of customer-funded design and construction work. They must separate their role as a system operator from their interests as a system builder.

ACT would establish open and objective accreditation for qualified connection contractors. Where a customer is paying for a new connection, extension or upgrade, they would be able to tender eligible work among accredited providers rather than being locked into a single supplier.

Some lines companies already provide customers with a choice of contractor. ACT would turn that good practice into a consistent right across the country. Competition gives providers a reason to sharpen their prices, improve service and complete work faster.

ACT will break the connection bottleneck by letting qualified providers compete to deliver customer-funded connection work faster and cheaper.

05 Make smarter technology compete with expensive new lines

Consumers should not be charged for an expensive network upgrade when a battery, flexible connection or demand-response solution could solve the same problem for less.

Transpower and lines companies already consider alternatives to conventional network investment, but the process does not always subject competing options to a transparent market test.

ACT would require material network reinforcement projects to demonstrate that credible alternatives have been properly tested before their costs can be recovered from consumers.

Depending on the scale of the project, that could include batteries, demand response, flexible connections, local generation and other technologies competing against conventional poles, wires and substations.

The requirement would be proportionate to the size of the investment so compliance costs do not outweigh the potential savings. New technology is creating cheaper ways to manage electricity networks. Monopoly providers should have to consider those alternatives before sending consumers the bill for traditional infrastructure.

ACT will make batteries and smarter grid technology compete with expensive new lines so consumers are not charged for gold-plating when a cheaper solution will do.

Build more, compete more, pay less

New Zealand cannot unlock its potential with an electricity system that makes it too difficult to build generation, too slow to connect new investment, or too easy for unnecessary monopoly costs to be passed on to consumers.

We need much more electricity infrastructure over the coming decades. The question is whether New Zealanders get it through competition, innovation and disciplined investment, or simply receive ever-larger bills.

ACT will back the people willing to invest their own money in generation, batteries and transmission. We will open connection work to competition, make new technology compete with traditional network investment, and demand better value from monopoly lines companies.

The result should be a system that produces more power, connects new investment faster, and keeps unnecessary costs off household and business power bills.

ACT will open the electricity system to competition and investment so New Zealand can build more power and deliver it at lower cost.